SMIFS LIMITED

October 12, 2026

Facilities/Instruments	Name of the Regulator[1]	Amount (₹ crore)	Rating[2]	Rating Action
Long Term Bank Facilities	RBI	50.00	CARE BBB-; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

The reaffirmation of the ratings assigned to the bank facilities of SMIFS Limited (SMIFS) factors in the experience of its promoters and management, established track record in the stock broking industry, and adequate capitalisation for its current scale of operations. The capitalisation profile was supported by capital infusion of ₹31 crore by the promoters in FY26.

The ratings, however, remain constrained by the company's modest scale of operations and profitability, vulnerability of earnings to capital market activities, competitive pressures, and regulatory risks. CareEdge Ratings also takes note of SMIFS' recent foray into the wealth management business and the associated expansion costs, which impacted its earnings profile in FY26. Going forward, the company's ability to build a sizeable clientele and profitably scale up the wealth management business, while improving its overall earnings profile and timely capital infusion will remain a key monitorable.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Sustained improvement in market presence/ market share and profitability.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Deterioration in the market share impacting the company's broking income.
- Inability of the company to improve the profitability and/or inability to breakeven the wealth management segment.
- Weakening capital structure leading to increase in gearing (including non-fund-based debt) beyond 4x on a sustained basis.

Analytical approach: Standalone

Outlook: Stable

The Stable outlook reflects CareEdge Ratings' expectation of an improvement in the company's earnings profile, driven by the wealth business achieving breakeven and commencing meaningful revenue contribution in the medium term. The outlook also factors in CareEdge Ratings' expectation that the company will maintain an adequate capitalization profile over the medium term supported by timely capital infusion.

Detailed description of key rating drivers

Key strengths

Seasoned management with long track record in retail broking operations

SMIFS commenced stock broking business in 1994, and it operates in the retail and institutional brokerage segment. The company caters to 33,377 clients and had a modest active client base of 6,842 active clients per NSE as of August 31, 2026. The customer base includes ~90 institutions and remaining are retail customers. SMIFS also has an advisory backed institutional business vertical and runs a portfolio management services (PMS) segment with an AUM of ~₹53 crore, with higher share of discretionary funds. The company is led by an experienced management team, and members of senior management team have an average experience of over two decades in the financial services industry.

The company's management is undertaking several initiatives to generate scale-based growth and diversify its operations. SMIFS has also enhanced its emphasis on technology, products, and marketing efforts. Profitably scaling up of the wealth management along with adaptation to evolving regulatory and competitive environment remains a key monitorable.

Adequate capitalisation, supported by equity infusion and need-based promoter support

As on March 31, 2026, the company's standalone tangible net worth increased to ₹138 crore, up from ₹106 crore as on March 31, 2025, predominantly on account of the equity raise of ~₹31 crores from the promoters. On the borrowings front, total

[1]SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

[2]Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

borrowings, inclusive of non-fund-based debt, increased from ₹85 crores to ₹112 crore in the same period. The borrowing included fund-based debt of ₹55 crores and bank guarantee of ₹58 crores, wherein the fund-based debt is to support the MTF book and BGs are kept with exchanges as margins.

In FY26, the company's overall gearing ratio (including non-fund-based debt) remained stable at 0.83x as of March 31, 2026, (PY: 0.82x). Net gearing, calculated by adjusting total debt including bank guarantees (BGs) against bank balances lien-marked for credit facilities, however increased to 0.62x as on March 31, 2026, from 0.41x in the previous year. While the existing gearing levels are considered adequate, the company's capital remains susceptible to earnings volatility inherent in its line of business and cash burn due to the long gestation period of the wealth business.

The company entered the wealth management business in FY26 and, as of June 30, 2026, had expanded its network to 22 branches across Eastern, Western and Northern India, targeting mass-affluent clients with an investible net worth of over ₹50 lakh. As the business scales up, SMIFS Limited is expected to receive need-based capital support to strengthen its capital base and enhance its ability to pursue capital market-linked businesses.

Key weaknesses

Modest scale of operations with significant hit on profitability in FY26
SMIFS' scale of operations remains modest considering the company's vintage. Despite catering to both retail and institutional clientele, growth in the company's topline has remained moderate over the years. The company catered to 33,377 clients, with 6,842 NSE active clients as on August 31, 2026. Total turnover remained modest at ₹59,666 crore in FY26, with institutional clients contributing around 38% of the overall turnover.

SMIFS reported total income of ₹74.87 crore in FY26, registering a growth of around 14% from ₹65.52 crore in FY25. However, the company's core brokerage income declined by around 22% during FY26, partly offset by higher interest income from margin trading facility (MTF) and fixed deposits. The decline in brokerage income was primarily attributable to subdued market activity and lower trading volumes amid weak market sentiments and geopolitical uncertainties.

During FY26, the company undertook rapid expansion of its wealth management business across Eastern, Western and Northern India resulting in a significant increase in operating expenses than earlier anticipation, and consequently impacted profitability, with profit after tax (PAT) declining to ₹0.64 crore in FY26 from ₹12.24 crore in FY25 (₹12.94 crore pre-tax non-recurring income from long-term capital gain in FY26).

With a view to diversifying its revenue streams and scaling up operations, the company ventured into the wealth management business in FY26, targeting the mass-affluent segment, primarily individuals with an investible net worth of over ₹50 lakh. The wealth management business is expected to generate relatively stable trail-based income as the company builds a sizeable asset under advisory (AUA). The company has also received a merchant banking licence, which will broaden its offerings to institutional clients through advisory services for capital market fund-raising avenues such as initial public offerings (IPOs), follow-on public offerings (FPOs), and rights issues, among others. This is expected to further diversify the company's fee-based revenue streams. Additionally, the company has its own portfolio management services (PMS) offering, which currently remains modest in scale and generates limited annual fee income. The company plans to scale up the PMS business through its wealth management platform once the latter stabilises. However, CareEdge Ratings notes that the wealth management business has a relatively long gestation period and its scale-up has weighed on the company's profitability, as witnessed in FY26. Accordingly, improvement in the earnings profile alongside the scale-up and breakeven of the wealth business, particularly amid volatility in capital markets, remains a key monitorable.

Susceptibility to regulatory changes
The capital market industry witnessed continuous regulatory revisions. To further enhance transparency levels and limit misuse, Securities and Exchange Board of India (SEBI) introduced a few regulations in the last few years. In October 2024, SEBI introduced multiple measures to curb retail participation, which became effective in a phase-wise manner between November 2024 and April 2025. These measures include reduction in derivatives with weekly expiry, which was highest Futures & Options (F&O) contributor, increase in lot size and increase in extreme loss margin by 2% on short options contracts on their expiry day. Other measures included upfront collection of option premiums and removal of Calendar Spread Treatment on expiry day.

Through its amended directions dated February 13, 2026 (effective July 01, 2026), the Reserve Bank of India (RBI) introduced a comprehensive framework governing bank credit to capital market intermediaries, including stockbrokers. Revised norms mandate fully collateralised lending, prescribe higher collateral quality (with significant cash components), and impose minimum haircuts, particularly on equity securities. The bank funding for proprietary trading has been restricted, while margin trading facilities are required to be backed by high-quality liquid collateral. The framework also brings such exposures under stricter monitoring and concentration limits. These measures are expected to increase funding costs and necessitate stronger capitalisation and liquidity management across brokers to varying levels.

CareEdge Ratings will continue to monitor SMIFS' ability to adapt technology, systems, and risk management processes in response to the constantly evolving regulatory landscape without adverse impact on its overall business profile

Liquidity: Adequate
SMIFS' liquidity profile remained adequate as on March 31, 2026, with unencumbered cash and bank balances of ₹80.35 crore as against a total fund based debt of ₹54.58 crores. The company has been maintaining unutilised margin with the exchanges, which provides additional liquidity cushion in case of exigencies.

Ratings do not factor in rating-related trigger clauses per terms of facilities/instruments, which may involve acceleration of payments in case of rating downgrades.

Applicable criteria

Definition of Default
Rating Outlook and Rating Watch
Financial Ratios - Financial Sector
Broking Firms

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial Services	Financial Services	Capital Markets	Stockbroking & Allied

SMIFS Limited, incorporated in 1993 and headquartered in Kolkata, is a SEBI-registered financial services firm offering a range of services including equity, commodity, and currency broking, portfolio management, investment banking, and wealth advisory. The company is a trading member of major Indian exchanges such as NSE, BSE, MCX, MSEI and NCDEX, and a depository participant with NSDL and CDSL. It operates across multiple cities in India and serves a varied client base including retail investors, institutions, and high-net-worth individuals.

The company's current business includes institutional and retail broking, PMS, and advisory services. Its institutional desk serves over 90 clients including mutual funds, FIIs, insurance companies, and banks, supported by a research team of over 20 professionals. The retail segment is being expanded with a greater focus on mass affluent clients, supported by a growing team of relationship managers and distribution of financial products such as mutual funds, AIFs, bonds, and insurance.

SMIFS is transitioning into a wealth-focused entity. The mass wealth segment, operated under SMIFS Limited, targets clients with investible net worth of ₹50 lakh and above. This segment is supported by dedicated teams of relationship managers across major cities, and the company is investing in technology infrastructure. The company has also applied for a merchant banking license to enter investment banking, with plans to offer services such as QIPs, IPOs, and private placements.

Standalone financials of SMIFS Limited:

Brief Financials (₹ crore)	March 31, 2024 (A)	March 31, 2025 (A)	March 31, 2026 (A)
Total income	70.98	65.52	74.87
Profit after tax (PAT)	16.38	12.24	0.64
Tangible net-worth (TNW)	93.10	104.92	135.54
Loan book (Margin trading facility)	18.51	16.15	64.76
Overall Gearing (x)*	0.67x	0.81x	0.83x
Cost-to-income (%)	58.91%	71.30%	96.92%
Return on net-worth (RONW) (%)	19.70%	12.36%	0.53%

A: Audited; Note: these are latest available financial results
*Including non-fund limits utilised

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of the regulators:
A list of facilities / instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Term Loan-Long Term (Proposed)	RBI	Not applicable	-	-	-	-	50.00	CARE BBB-; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Term Loan-Long Term	LT	50.00	CARE BBB-; Stable	-	1)CARE BBB-; Stable (02-Sep-25)	-	-

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities
Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please click here

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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